

2025 Report on Steps to Reduce the Risks of Forced and Child Labour in Supply Chains

INTRODUCTION

This is the third joint annual report from Mosaic Forest Management Corporation, Mosaic Forest Management Limited Partnership, Island Timberlands Limited Partnership, Island Timberlands GP Ltd., TimberWest Forest Corp., and TimberWest Forest Company (collectively, "**Mosaic**") on forced and child labour in supply chains, made in compliance with the *Fighting Against Forced Labour and Child Labour in Supply Chains Act*, SC 2023 (the "**Act**"). It sets out the actions taken by Mosaic to address forced and child labour risks in our operations and supply chains for the year ending December 31st, 2025.

In 2025, we maintained the comprehensive framework established in previous years, continuing our commitment to preventing forced and child labour through consistent application of our policies, training programs, and contractual safeguards.

MOSAIC'S STRUCTURE, ACTIVITIES AND SUPPLY CHAINS

Business Structure

Mosaic Forest Management Corporation (the "**Corporation**") was created in connection with the affiliation of Island Timberlands Limited Partnership ("**Island Timberlands**") and TimberWest Forest Corp. ("**TimberWest**") in 2018. The Corporation is the general partner of Mosaic Forest Management Limited Partnership, Island Timberlands GP Ltd. is the general partner of Island Timberlands, and TimberWest is the managing partner of TimberWest Forest Company. The Corporation provides overall governance for Mosaic and manages the business activities and assets of both Island Timberlands and TimberWest. The Mosaic entities are Canadian entities ultimately owned by the British Columbia Investment Management Corporation and the Public Sector Pension Investment Board.

Business Activities

Mosaic's principal areas of business are harvesting logs, selling logs to domestic and international markets, real estate development, the sale of carbon credits through our Big Coast Forest Climate Initiative, and exploring other land management opportunities including renewable energy and natural capital. The Corporation manages the forest planning, operations and product sales of TimberWest and Island Timberlands, two B.C. businesses proudly operating on Vancouver Island for over 100 years, and collectively one of the largest private forest landowners in Canada. Mosaic manages private forest lands to protect the cultural values of our Indigenous partners, provides sustainable forest stewardship and environmental services, and offers a variety of recreational opportunities, scholarships, and donations to our neighbouring communities. One of the Mosaic entities was the first forestry company in Canada to be certified under the globally recognized Sustainable Forestry Initiative over 20 years ago. One of the Mosaic entities was also the first forestry company to achieve Gold level Progressive Aboriginal Certification from the Canadian Council of Aboriginal Business, making it the first and only timberland

owner in Canada to achieve this standard of excellence. Mosaic's employees work in a wide variety of roles and functions, including operations, sales, marketing, and Indigenous partnerships.

Supply Chains

Mosaic's suppliers are predominantly located in Canada, and the majority of its workforce consists of Canadian employees and contractors. We procure a diverse range of goods and services to support our business activities. Key areas of expenditure are as follows:

- **Forestry-related operations**
 - road building
 - brushing
 - harvesting
 - log storage and sorting
 - silviculture
 - contracted services
- **Facilities, equipment and associated services**
 - vehicles and heavy equipment, including purchase, leasing and maintenance
 - fuel services
 - waste management and recycling services
 - safety equipment and workwear
- **Transportation and shipping**
 - log hauling
 - ship chartering
- **Communications and technology**
 - IT hardware
 - IT software and systems services
 - telecommunications services
- **Corporate services**
 - consulting and advisory services
 - stationary and corporate equipment
 - catering and event services

It is important to Mosaic that we continuously seek to identify risks and areas for improvement across our business and then implement appropriate actions to address them. As part of our ongoing drive to meet our business standards and values, we aim to regularly monitor and assess our suppliers, providing advice and support to manage risk.

RISK ASSESSMENTS

We continue to assess risks of child and forced labour in our supply chains using the framework established in 2023, which evaluates:

- whether raw material was sourced overseas;
- whether goods or parts were manufactured overseas; and
- where contractor services may use low-skilled labour or have opaque subcontracting relationships.

Our identified higher risk areas remain consistent with previous years:

- contracted forest operations services where low-skilled labour and/or subcontracting may be used;
- equipment, particularly where parts are manufactured overseas;
- contracted ships for transport of logs overseas; and
- customers.

MEASURES TAKEN, INCLUDING RELEVANT POLICIES, TRAINING AND DUE DILIGENCE PROCESSES

Contractual Protections

We include express provisions in all agreements with contractors and consultants which specifically address forced and child labour concerns by requiring our business partners to represent and warrant that they do not knowingly use forced or child labour in their operations or supply chains.

Code of Conduct and Internal Policies

Our company Code of Conduct establishes mandatory requirements for employees involved in procurement, supplier selection, client selection, and supply chain management, including:

- due diligence steps in partner selection;
- ongoing monitoring of business relationships;
- documentation requirements;
- escalation procedures for identified concerns; and
- required contractual provisions regarding forced and child labour.

Training

In 2025, we required all employees involved in procurement, supplier selection, client selection, contractor management, and supply chain management to attend mandatory annual training that includes a specific module on preventing forced and child labour. This training covers:

- recognition of forced and child labour indicators;
- due diligence requirements;
- contractual safeguards;
- reporting procedures; and

- case studies and practical examples.

In addition, our training measures include annual Code of Conduct review and sign off, and contractor Health and Safety Policy training.

Whistleblower Policy

Mosaic's Whistleblower Policy encourages all our employees, customers, contractors, and other business partners to report any concerns related to the direct activities, or the supply chains of, our business. This includes any circumstance which may give rise to an enhanced risk of forced or child labour. The Whistleblower Policy is designed to make it easy and safe for any individual to confidentially disclose concerns without any retaliation.

Eyes and Ears on the Ground

We are active on our job sites, consistently providing on-the-ground oversight to ensure safe and legally sound practices are employed. We aim for strong relationships with all our contractors, resulting in in-depth knowledge of their safety and ethical practices and their employee base. We provide mentorship to contractors on safety and ethics, intervening when standards are not met.

Third-party Due Diligence

In addition to diligence undertaken through our policies, procedures and systems, we conduct regular due diligence searches to screen third-party vendors and customers, which include searching the public domain, litigation, and regulatory and government agencies.

MEASURES TAKEN TO REMEDIATE ANY FORCED LABOUR OR CHILD LABOUR

We have not identified instances of forced labour or child labour in our supply chains or operations in 2025.

MEASURES TAKEN TO REMEDIATE LOSS OF INCOME TO VULNERABLE FAMILIES

We have not identified areas in 2025 where loss of income occurred to vulnerable families resulting from measures taken to eliminate the use of forced or child labour.

EFFECTIVENESS ASSESSMENT

We assess the effectiveness of our actions through:

- tracking completion rates of mandatory training programs;
- monitoring compliance with new contractual provisions;
- reviewing results of third-party due diligence; and
- assessing implementation of new policies and procedures.

Our goals are to maintain 100% completion of mandatory training, ensure all new contracts include forced and child labour protections, and promptly investigate any concerns raised through our Whistleblower Policy. We track our progress year-over-year by monitoring training completion rates, reviewing any reports received through our Whistleblower Policy, and tracking the results of our third-party due diligence searches.

LOOKING FORWARD

In 2026, we will continue to strengthen our approach through:

- delivering our training programs;
- applying due diligence in supplier and client selection;
- reviewing and updating contractual terms as needed; and
- staying informed of best practices in the prevention of child and forced labour across supply chains.

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REPORT APPROVAL AND ATTESTATION

As a joint report, this report has been approved by the boards of directors of each of the Corporation, TimberWest and Island Timberlands GP Ltd. as the governing bodies on their own behalf and as the general or managing partner, as applicable, of the other entities covered hereby.

In accordance with the requirements of the Act, and in particular section 11 thereof, I attest that I have reviewed the information contained in the report for the entity or entities listed above. Based on my knowledge, and having exercised reasonable diligence, I attest that the information in the report is true, accurate and complete in all material respects for the purposes of the Act, for the reporting year listed above.

MOSAIC FOREST MANAGEMENT CORPORATION in its own capacity and in its capacity as general partner of **MOSAIC FOREST MANAGEMENT LIMITED PARTNERSHIP**



Duncan Davies, President & Chief Executive Officer

TIMBERWEST FOREST CORP. in its own capacity and in its capacity as managing partner of **TIMBERWEST FOREST COMPANY**



Duncan Davies, President & Chief Executive Officer

ISLAND TIMBERLANDS GP LTD. in its own capacity and in its capacity as general partner of **ISLAND TIMBERLANDS LIMITED PARTNERSHIP**



Duncan Davies, President & Chief Executive Officer